

IPR UNIT-4

1. What are the marks covered under Trademarks Law

A. Trademark law covers a wide range of marks including words, symbols, sounds, shapes, and even colors that distinguish goods or services. These are categorized into conventional and non-conventional types.

Conventional Trademarks

These are the most commonly registered marks:

- **Word Marks:** Text-based identifiers like brand names (e.g., *Nestlé*, *Tata*).
- **Device Marks:** Logos, symbols, or images (e.g., Apple's bitten apple).
- **Service Marks:** Used to identify services rather than goods (e.g., *FedEx* for courier services).
- **Collective Marks:** Used by members of an organization to indicate membership or origin (e.g., *CA* for Chartered Accountants).
- **Certification Marks:** Indicate that goods/services meet certain standards (e.g., *ISI*, *Agmark*).
- **Series Marks:** A group of marks with a common prefix/suffix used for related products (e.g., *McChicken*, *McVeggie*).

Non-Conventional Trademarks

These are less common but legally recognized:

- **Sound Marks:** Distinctive audio signatures (e.g., *Nokia tune*).
- **Color Marks:** Specific colors associated with a brand (e.g., *Cadbury purple*).
- **Shape Marks:** Unique product shapes (e.g., *Coca-Cola bottle*).
- **Smell Marks:** Rare, but possible if the scent is distinctive and non-functional.
- **Motion Marks:** Animated logos or moving images used in branding.

2. Discuss Trade secret and its general principles

A. A trade secret is confidential business information that gives a company a competitive advantage and is protected by maintaining secrecy rather than formal registration. It includes formulas, processes, designs, instruments, patterns, or compilations of information used in business.

General principles governing trade secrets:

1. **Secrecy:** The information must not be publicly known or easily accessible. It must be kept confidential through internal policies, restricted access, and legal agreements.
2. **Commercial Value:** The secret must have actual or potential economic value because it is not generally known. Its secrecy must contribute to the business's competitive position.
3. **Reasonable Protection Measures:** The owner must take reasonable steps to maintain secrecy, such as using non-disclosure agreements (NDAs), employee training, and cybersecurity protocols.
4. **No Formal Registration:** Unlike patents or trademarks, trade secrets are not registered with any authority. Their protection depends on the owner's

efforts to keep them secret.

5. **Unlimited Duration:** Protection lasts as long as the information remains secret and continues to have commercial value.
6. **Misappropriation Prohibited:** Unauthorized acquisition, use, or disclosure of a trade secret is considered misappropriation and can be legally challenged.

3. Describe how can a Trade Secret be maintained

A. To maintain a trade secret effectively, a business must take **reasonable and proactive steps** to ensure the information remains confidential and inaccessible to unauthorized parties. Here's a structured explanation of how this can be done:

1. Restrict Access

Limit access to the trade secret only to those who need to know it:

- Use role-based access controls (physical or digital).
- Store sensitive documents in secure locations or encrypted systems.

2. Use Legal Agreements

Implement legal safeguards to bind employees and partners:

- **Non-Disclosure Agreements (NDAs)** with employees, contractors, and vendors.
- **Non-Compete Clauses** (where legally enforceable) to prevent misuse after employment ends.
- **Confidentiality Clauses** in contracts and licensing agreements.

3. Employee Training and Awareness

Educate staff about the importance of confidentiality:

- Conduct regular training on handling sensitive information.
- Mark documents as "Confidential" and explain consequences of disclosure.

4. Implement Security Measures

Adopt both physical and digital security protocols:

- Use surveillance, locked cabinets, and access badges.
- Apply cybersecurity tools like firewalls, encryption, and secure file-sharing platforms.

5. Limit Disclosure

Avoid unnecessary exposure of the secret:

- Do not publish or patent the information if secrecy is preferred.
- Share only essential parts of the secret when collaborating with third parties.

6. Monitor and Audit

Regularly review and update protection mechanisms:

- Conduct audits to detect leaks or vulnerabilities.
- Monitor employee exits and ensure return of confidential materials.

4. Illustrate the distinction between Trademark and Property mark

A. Trademark

A **trademark** is a legally recognized sign, symbol, word, or combination thereof used to identify and distinguish the goods or services of one entity from those of others. It is governed by the **Trade Marks Act, 1999**.

- **Purpose:** Commercial identification of goods/services.
- **Scope:** Protects brand identity, reputation, and consumer recognition.
- **Examples:** Logos, brand names like *TATA*, *Amul*, *Nike*.
- **Legal Protection:** Requires registration; infringement leads to civil remedies.

Property Mark

A **property mark** is defined under **Section 479 of the Indian Penal Code (IPC)**. It refers to a mark used to denote ownership of movable property.

- **Purpose:** Prevent theft or misappropriation of physical property.
- **Scope:** Used on goods like tools, machinery, or containers to show ownership.
- **Examples:** Engraved initials on company equipment, painted codes on crates.
- **Legal Protection:** Misuse or falsification is a criminal offense under IPC Sections 479–482.

5. Discuss about the Trademark Rules, 2017

A. The Trademark Rules, 2017 streamline the trademark registration process in India by simplifying procedures, reducing forms, and promoting digital filing. They came into effect on March 6, 2017, replacing the earlier 2002 Rules.

Key Features and Provisions of the Trademark Rules, 2017

1. Reduction in Forms and Simplification The number of trademark forms was reduced from 74 to just 8, each designated for a specific purpose (e.g., TM-A for application, TM-M for miscellaneous requests). This simplification enhances clarity and efficiency.

2. Electronic Filing and Communication The Rules encourage digital filing and communication. Applicants can file online and receive notices electronically, reducing paperwork and delays.

3. Fee Structure and Incentives

- Higher fees for physical filing to promote e-filing.
- Discounts for individual/startup/small enterprise applicants.
- Separate fee schedules for different categories of applicants and services.

4. Expedited Processing Provision for **fast-track examination** of trademark applications upon payment of additional fees (Rule 34), enabling quicker registration.

5. Recognition of Well-Known Trademarks Rule 124 allows any person to request recognition of a trademark as “well-known” by submitting Form TM-M with supporting evidence and fees. This formalizes a previously discretionary process.

6. Hearings and Video Conferencing Hearings may be conducted via video conferencing, making the process more accessible and reducing logistical burdens.

7. Classification and Specification of Goods/Services The Rules adopt the **Nice Classification system**, aligning India’s trademark practice with international standards.

8. Agent and Address Requirements Clear provisions for appointing trademark agents and specifying addresses for service, ensuring proper communication and representation.

9. Renewal and Restoration Rules for renewal (Form TM-R) and restoration of

lapsed trademarks are clarified, with timelines and fee structures.

6. Examine physical security of Trade secrets

A. The **physical security of trade secrets**, we focus on how organizations protect confidential information from unauthorized physical access, theft, or exposure. This is a critical layer of protection alongside legal and digital safeguards.

Key Aspects of Physical Security for Trade Secrets

1. Controlled Access to Facilities

- Restrict entry to sensitive areas (e.g., R&D labs, server rooms) using ID badges, biometric scanners, or keycards.
- Maintain visitor logs and escort policies for non-employees.

2. Secure Storage of Sensitive Materials

- Use locked cabinets, safes, or vaults for storing documents, prototypes, or storage media.
- Label confidential materials clearly (e.g., "Confidential," "Internal Use Only").

3. Surveillance and Monitoring

- Install CCTV cameras in critical zones to deter and detect unauthorized access.
- Use motion detectors and alarm systems for after-hours protection.

4. Physical Barriers and Layout Design

- Design office layouts to isolate sensitive departments (e.g., separate R&D from general access areas).
- Use physical barriers like security doors, turnstiles, and restricted elevators.

5. Secure Disposal Practices

- Shred or incinerate paper documents containing trade secrets.
- Use certified e-waste disposal for hard drives and storage devices.

6. Employee Access Control and Training

- Grant access on a need-to-know basis.
- Train employees on physical security protocols and reporting suspicious activity.

7. Incident Response and Audits

- Conduct regular audits of physical security systems.
- Maintain incident response plans for breaches or theft.

7. Discuss the general principles of Trade secrets

A. 1. Definition

A trade secret is confidential business information that provides a competitive advantage. Unlike patents or copyrights, trade secrets are not registered with any authority; their protection depends on secrecy and reasonable measures taken by the owner.

2. Essential Characteristics

For information to qualify as a trade secret, it must meet three conditions:

- **Secrecy:** Not generally known or easily accessible to competitors.
- **Commercial Value:** Provides economic or competitive advantage because of its secrecy.

- **Reasonable Protection Measures:** The owner must actively safeguard it (e.g., NDAs, restricted access, encryption).

3. Scope of Trade Secrets

Trade secrets can include:

- Formulas (e.g., Coca-Cola recipe)
- Manufacturing processes or methods
- Business strategies, pricing models, customer lists
- Software source code, algorithms, prototypes
- R&D data and technical know-how

4. Duration of Protection

- Potentially **unlimited**, as long as secrecy is maintained.
- Unlike patents (20 years), trade secrets can last indefinitely (e.g., Coca-Cola's formula for over a century).

5. Legal Protection

- Governed by **common law principles of equity, contract law, and tort law** in India.
- Internationally recognized under the **TRIPS Agreement (Article 39)**, which requires members to protect undisclosed information against unfair commercial use.
- Misappropriation (unauthorized acquisition, disclosure, or use) can lead to legal remedies.

6. Limitations

- No protection if the information becomes public (through reverse engineering, independent discovery, or disclosure).
- Weaker enforcement compared to patents, since proof of secrecy and misappropriation is required.
- No exclusive rights against independent inventors who discover the same information lawfully.

8. Explain about the laws relating to Trademarks in India along with the salient features of the Trademarks Act, 1999

A. I. Trademark Laws in India

- Governed by the **Trademarks Act, 1999**, which replaced the Trade and Merchandise Marks Act, 1958.
- Administered by the **Controller General of Patents, Designs and Trade Marks** under the Ministry of Commerce and Industry.
- India is a signatory to the **TRIPS Agreement** and the **Madrid Protocol**, allowing international registration.

II. Definition of Trademark (Section 2(zb))

A **trademark** means a mark capable of being represented graphically and capable of distinguishing goods or services of one person from those of others. It includes:

- Words, names, symbols, logos
- Shapes of goods, packaging
- Combination of colors

- Sound marks (if graphically represented)

III. Salient Features of the Trademarks Act, 1999

1. Registration of Trademarks

- Provides for **registration of trademarks** for goods and services.
- Grants **exclusive rights** to use the mark and seek legal remedies against infringement.

2. Classification of Goods and Services

- Follows the **Nice Classification** system (45 classes: 1–34 for goods, 35–45 for services).

3. Term and Renewal

- Initial registration valid for **10 years**, renewable indefinitely every 10 years.

4. Infringement and Passing Off

- Infringement: Unauthorized use of a registered trademark.
- Passing off: Misrepresentation of unregistered mark causing confusion or damage.

5. Grounds for Refusal (Section 9 & 11)

- Absolute grounds: Marks that are generic, descriptive, deceptive, or offensive.
- Relative grounds: Marks that are identical or similar to existing marks.

6. Remedies for Infringement

- Civil remedies: Injunction, damages, account of profits.
- Criminal remedies: Fines and imprisonment under Sections 103–105.

7. Madrid Protocol (2013)

- Enables Indian applicants to file international trademark applications through a single procedure.

8. Well-Known Trademarks

- Recognized under Section 2(1)(zg); enjoy broader protection even without registration in India.

9. Opposition and Rectification

- Third parties may oppose registration (within 4 months of publication).
- Rectification allows cancellation or modification of registered marks.

9. Summarize in detail the Trademarks Registration process

A. 1. Trademark Search

- Conduct a search on the **IP India website** to check if a similar or identical mark already exists.
- Helps avoid objections or opposition later.

2. Filing the Application

- File **Form TM-A** with the Trademark Registry (online or offline).
- Required details:
 - Applicant's name and address
 - Trademark (word, logo, device, etc.)
 - Class of goods/services (as per Nice Classification)
 - Date of first use (if applicable)
 - Power of Attorney (if filed through an agent)

3. Allotment of Application Number

- Upon filing, an **application number** is issued immediately.
- The applicant can use the TM symbol after this stage.

4. Formality Check and Examination

- The application undergoes a **formality check** for completeness.
- Then examined substantively under **Section 9 (absolute grounds)** and **Section 11 (relative grounds)**.
- The Examiner may:
 - Accept the application
 - Raise objections (via Examination Report)

5. Response to Examination Report

- Applicant must respond within **30 days** of receiving the report.
- May include legal arguments, evidence of use, or request for hearing.

6. Show Cause Hearing

- If objections are not resolved in writing, a **hearing** is scheduled.
- The Registrar may accept, reject, or conditionally accept the application.

7. Publication in Trademark Journal

- If accepted, the mark is published in the **Trademarks Journal** for public notice.
- This allows third parties to file **opposition** within **4 months**.

8. Opposition Proceedings

- If opposed, both parties submit evidence and attend hearings.
- The Registrar decides whether to allow or reject the application.

9. Registration and Issuance of Certificate

- If no opposition (or if opposition is decided in favor of applicant), the mark is **registered**.
- A **Registration Certificate** is issued under the seal of the Trademark Registry.
- The ® symbol can now be used.

10. Renewal

- Trademark is valid for **10 years** from the date of application.
- Can be **renewed indefinitely** every 10 years using Form TM-R.

10. Explain about Passing off action and the remedies for the infringement of Trademark

A. I. Passing Off – Common Law Protection

Definition: Passing off is a tort-based remedy that protects the goodwill of an unregistered trademark. It prevents one party from misrepresenting their goods/services as those of another.

Key Elements (Classic Trinity Test):

1. **Goodwill** – The plaintiff must prove reputation in the mark.
2. **Misrepresentation** – The defendant's actions must cause confusion or deception.
3. **Damage** – The plaintiff must suffer actual or potential loss.

Example: If a local brand uses packaging similar to “Amul” without registration, Amul can sue for passing off by proving consumer confusion and loss of sales.

Legal Basis:

- Not codified in the Trademarks Act, 1999 but recognized under common law.
- Enforced through civil courts.

II. Remedies for Trademark Infringement

Infringement applies to **registered trademarks** and is governed by the **Trademarks Act, 1999**.

A. Civil Remedies

1. **Injunctions** – Court orders to stop use of the infringing mark.
2. **Damages or Account of Profits** – Compensation for loss or profits gained by the infringer.
3. **Delivery-up** – Seizure and destruction of infringing goods.
4. **Anton Piller Orders** – Ex parte orders for search and seizure to prevent evidence destruction.

B. Criminal Remedies (Sections 103–105)

1. **Imprisonment** – Up to 3 years.
2. **Fine** – Up to ₹2 lakh.
3. **Search and seizure** – Police action against counterfeit goods.

C. Administrative Remedies

- **Opposition proceedings** before registration.
- **Rectification/cancellation** of wrongly registered marks.

11. Examine the Trade secret law in global trends

A. I. International Framework – TRIPS Agreement (1995)

- **Article 39 of TRIPS** requires WTO members to protect undisclosed information:
 - Against unfair commercial use
 - Through legal remedies for misappropriation
 - By ensuring reasonable steps are taken to maintain secrecy
- TRIPS sets **minimum standards**, allowing countries to tailor enforcement mechanisms.

II. Country-Specific Trends

US United States – Defend Trade Secrets Act (DTSA, 2016)

- Federal cause of action for trade secret misappropriation
- Allows **civil seizure**, injunctions, and punitive damages
- Supplements state-level Uniform Trade Secrets Act (UTSA)
- Strong protection for software, algorithms, and industrial know-how

EU European Union – Trade Secrets Directive (2016/943)

- Harmonized definition and protection across member states
- Emphasizes **confidentiality during litigation**
- Balances protection with **employee mobility and whistleblower rights**
- Encourages injunctive relief and compensation

CN China – Anti-Unfair Competition Law (Amended 2019)

- Expanded definition to include **data, algorithms, and business information**
- Introduced **punitive damages** and reversed burden of proof

- Strengthened enforcement against **employee theft and industrial espionage**

IN India – Common Law Protection

- No dedicated statute; relies on:
 - Contract law (NDAs, employment clauses)
 - Tort law (breach of confidence)
 - Equity principles and judicial precedents
- TRIPS-compliant but lacks statutory damages or seizure powers

JP Japan & KR South Korea

- Criminal penalties for trade secret theft
- Strong focus on **industrial espionage prevention**
- Emphasis on **corporate compliance programs** and internal audits

III. Emerging Global Trends

- **Digital forensics** and metadata analysis in litigation
- **AI models and training data** treated as trade secrets
- **Remote work** and cloud tools increasing leakage risks
- **Cross-border enforcement** via arbitration and forum selection clauses
- **Cybersecurity audits** as part of trade secret compliance

12. Discuss about breach of contract and law of Unfair Competition

A. I. Breach of Contract

A **breach of contract** occurs when one party fails to perform its obligations under a legally enforceable agreement, without lawful justification.

Key Types:

- **Actual breach:** Failure to perform on the due date or performing defectively.
- **Anticipatory breach:** One party declares in advance that they will not perform their part of the contract.

Legal Remedies (under Indian Contract Act, 1872):

1. **Damages (Section 73)** – Compensation for loss caused by the breach.
2. **Specific performance** – Court orders actual fulfillment of the contract (under Specific Relief Act, 1963).
3. **Injunction** – Prevents breach or enforces negative covenants.
4. **Rescission** – Cancels the contract and restores parties to original position.
5. **Quantum meruit** – Compensation for partial performance when contract is void or terminated.

Example:

If a supplier fails to deliver goods on the agreed date, the buyer may sue for damages or seek specific performance if the goods are unique.

II. Law of Unfair Competition

Unfair competition refers to dishonest or deceptive business practices that harm competitors or mislead consumers. It protects market integrity and business goodwill.

Common Forms:

- **Passing off** – Misrepresenting one's goods/services as those of another.
- **Trade dress imitation** – Copying the look and feel of a product or packaging.

- **Misappropriation of trade secrets** – Unauthorized use of confidential business information.
- **False advertising** – Misleading claims about products or services.
- **Disparagement** – False statements that damage a competitor's reputation.

Legal Framework in India:

- **Common law** – Tort of passing off.
- **Trademarks Act, 1999** – Protects against deceptive similarity and brand misuse.
- **Consumer Protection Act, 2019** – Penalizes misleading advertisements.
- **Competition Act, 2002** – Addresses anti-competitive practices and market abuse.